

May 12, 2026 04:00 PM GMT

Standard Chartered Bank | Europe

Risk Reward Update

WHAT'S CHANGED

Standard Chartered Bank (STAN.L)	From	To
Price Target	1,863p	2,090p
Bull Case	3,090p	3,038p
Base Case	1,862p	1,934p
Bear Case	643p	636p
Updated Components		
EPS		
Investment Thesis		
Bull Base Bear Scenarios		

Risk Reward for Standard Chartered Bank (STAN.L) has been updated.

Reason for change

We raise our earnings estimates for 2026/27/28e by 1.9%, 0.7%, and 2.5%, respectively. We increase our 2026 revenue estimate, reflecting stronger-than-expected wealth growth. We also slightly reduce our cost estimates across all three years. At the same time, we raise our credit cost assumptions for all three years, driven by geopolitical uncertainty.

As a result, we increase our base case valuation by 3.9%. However, lower medium-term RoE in both the bull and bear cases reduces those valuations by 1.7% and 1.1%, respectively. We also revise the bear:base:bull weighting to 5:75:20, from 10:80:10 previously. The higher bull case weighting reflects upside potential from Standard Chartered's wealth business and its medium-term targets. Consequently, we raise our price target to GBp 2,090, up 12% from the previous level.

MORGAN STANLEY ASIA (SINGAPORE) PTE.+

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Standard Chartered Bank (STAN.L, STAN LN)

Banks | United Kingdom

Stock Rating	Overweight			
Industry View	Attractive			
Price target	2,090p			
Shr price, close (May 11, 2026)	1,866p			
52-Week Range	1,938-1,067p			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (US\$)**	1.95	2.27	2.66	3.24
Prior EPS (US\$)**	-	2.23	2.65	3.16

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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Risk Reward – Standard Chartered Bank (STAN.L)

Longer-term RoTE and capital returns remain supportive; valuation undemanding

PRICE TARGET 2,090p

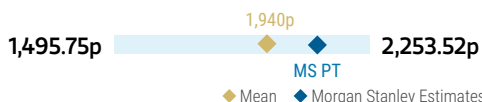
Gordon Growth model, probability-weighted 20% bull, 75% base, 5% bear (based on the likelihood of different macro outcomes, as well as return and franchise improvements).

Key assumptions:

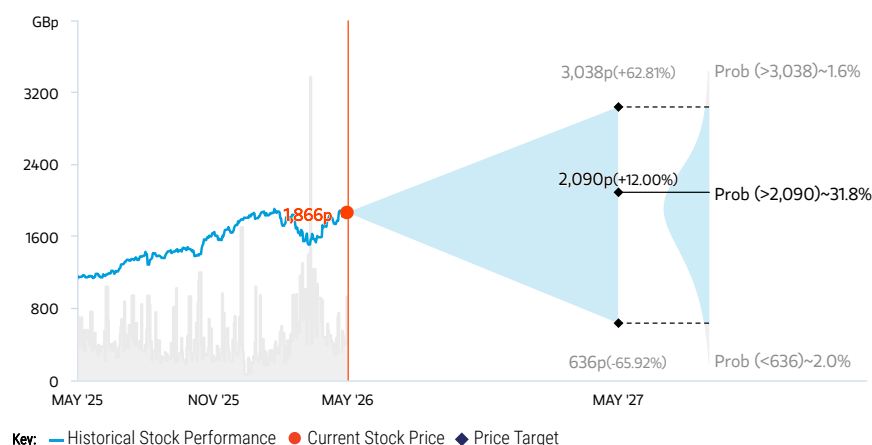
- Cost of equity: 10% base, 9% bull, 15% bear.
- Return on allocated equity: 10% bull, 10% base, 9% bear
- Terminal growth: 2.5%

The result: target P/Bs 2.3x bull, 1.42x base, 0.51x bear.

Consensus Price Target Distribution



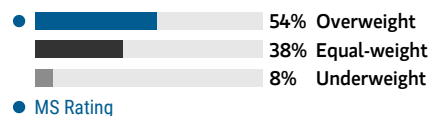
RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



OVERWEIGHT THESIS

- **Turn in the rate cycle set to lower NIM over the next five years:** However, hedging plus improved loan and fee growth (especially wealth fees) should help Standard Chartered more than mitigate the impact in the medium term.
- **RoTE set to improve and move ahead of cost of capital:** We forecast RoTE of 13.1% in 2026. We see RoTE above 15% from 2028 onward.
- **High cost:income ratio makes bottom line sensitive to small changes in income and credit costs:** This will make continued non-NII generation key, especially as NIM is under pressure from lower rates.
- **High payouts to shareholders:** Share buybacks and dividends of US\$9.3bn forecast for 2026-27.
- **Valuation is undemanding.**

Consensus Rating Distribution



Risk Reward Themes

Self-help: *Positive*
View descriptions of Risk Rewards Themes [here](#)

BULL CASE

3,038p

16.2x bull case 2026e EPS

Falling oil price leads to more resilient Asian GDP growth: The key Asian economies to which STAN is exposed fare better than expected, allowing stronger system loan growth. Impairments fall faster than expected.

BASE CASE

1,934p

11.6x base case 2026e EPS

Returns exceed 14% in 2027: Top line grows, with modest NIM pressure. Cost control is good. Credit quality remains sound.

BEAR CASE

636p

6x bear case 2026e EPS

Macro disappointment, increased geopolitical risk: Asian economic growth struggles to recover rapidly, driving up credit costs. Revenue growth headwinds increase as rates fall. Geopolitical tensions increase required cost of capital.

Risk Reward – Standard Chartered Bank (STAN.L)

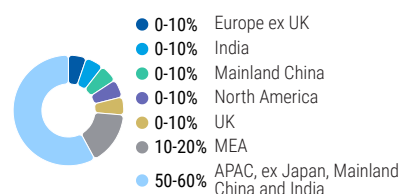
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Loan growth (%)	2.0	3.8	4.4	4.4
NIM (%)	2.03	1.98	1.85	1.85
Core PPOP growth (%)	(9.2)	34.6	(0.7)	14.5
Credit Costs (%)	0.23	0.28	0.31	0.30

INVESTMENT DRIVERS

- UK and global regulatory developments.
- Macroeconomic indicators, particularly in Asia.
- Short-term interest rates.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected macroeconomic growth and resilience, causing better-than-expected asset quality
- Better-than-expected non-interest income growth
- Rates trough above 3%
- Bank able to return capital sooner than currently expected

RISKS TO DOWNSIDE

- Incremental deterioration in asset quality
- Greater pressure on interest rates
- Asian macro climate deteriorates
- Failure to deliver on cost targets

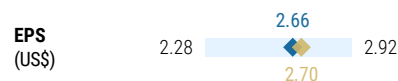
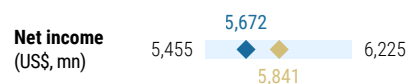
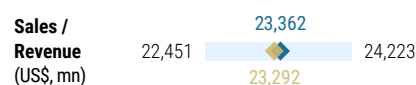
OWNERSHIP POSITIONING

Inst. Owners, % Active	85.2%	
HF Sector Long/Short Ratio	2.2x	
HF Sector Net Exposure	18.8%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
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(as of April 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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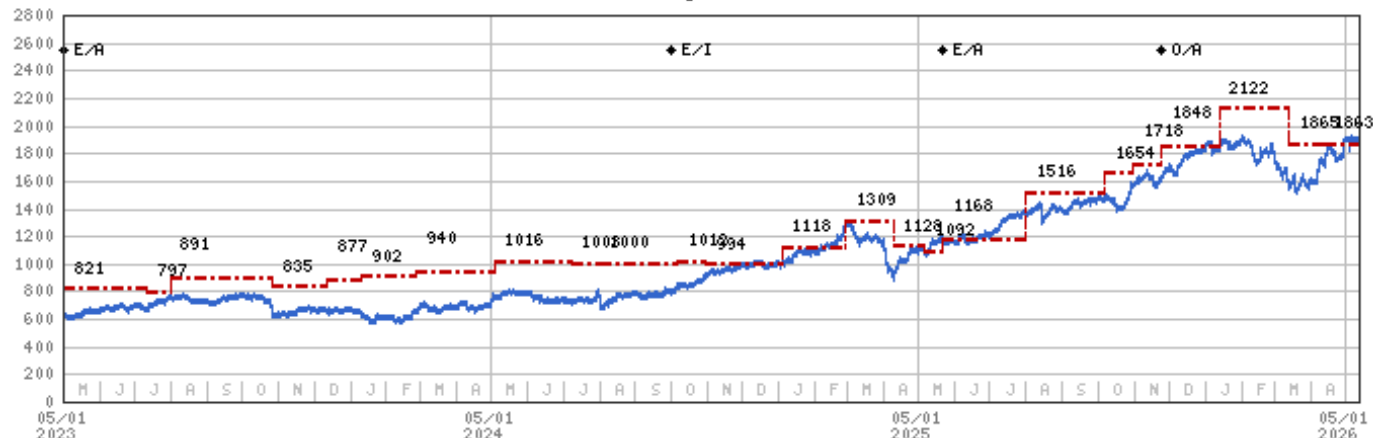
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Stock Price, Price Target and Rating History (See Rating Definitions)

Standard Chartered Bank (STAN.L) - As of 05/12/26 GMT in GBP
Industry : Banks



Stock Rating History: 5/1/21 : E/A; 5/17/22 : E/I; 9/15/22 : E/A; 10/1/24 : E/I; 5/21/25 : E/A; 11/24/25 : O/A

Price Target History: 3/2/21 : 470; 8/11/21 : 480; 2/16/22 : 547; 6/8/22 : 618; 7/6/22 : 645; 10/17/22 : 797; 2/13/23 : 693; 2/17/23 : 845; 4/18/23 : 821; 7/11/23 : 797; 7/31/23 : 891; 10/27/23 : 835; 12/12/23 : 877; 1/11/24 : 902; 2/26/24 : 940; 5/3/24 : 1016; 7/8/24 : 1003; 8/1/24 : 1000; 10/7/24 : 1012; 10/31/24 : 994; 1/4/25 : 1118; 2/27/25 : 1309; 4/9/25 : 1128; 5/6/25 : 1092; 5/21/25 : 1168; 8/1/25 : 1516; 10/7/25 : 1654; 10/31/25 : 1718; 11/24/25 : 1848; 1/13/26 : 2122; 3/14/26 : 1865; 4/13/26 : 1863

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Banks

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/11/2026)
Alvaro Serrano		
AIB Group plc (AIBG.I)	E (05/21/2025)	€9.66
Banco Comercial Portugues SA (BCPLS)	E (03/03/2025)	€0.93
Banco Sabadell (SABE.MC)	E (10/21/2025)	€3.28
Bankinter (BKT.MC)	E (09/15/2022)	€13.90
Bank of Ireland (BIRG.I)	O (11/24/2025)	€16.82
Barclays Bank (BARC.L)	O (09/26/2023)	429p
BBVA (BBVA.MC)	E (10/21/2025)	€18.76
CaixaBank SA (CABK.MC)	E (11/25/2024)	€10.74
Commerzbank (CBKG.DE)	E (09/02/2025)	€35.97
HSBC (HSBA.L)	E (01/13/2026)	1,330p
Lloyds Banking Group (LLOY.L)	O (03/04/2025)	98p
NatWest Group (NWG.L)	E (10/02/2023)	581p
Santander (SAN.MC)	O (03/23/2026)	€10.42
UNICAJA BANCO SA (UNI.MC)	U (01/15/2021)	€2.76
Giulia Aurora Miotto, CFA		
ABN AMRO Bank NV (ABNd.AS)	O (09/22/2025)	€29.89
BNP Paribas (BNPP.PA)	E (09/15/2022)	€92.96
Credit Agricole S.A. (CAGR.PA)	E (07/08/2024)	€17.15
Deutsche Bank (DBKGn.DE)	O (03/27/2024)	€27.10
ING Groep (INGA.AS)	E (03/23/2026)	€25.72
KBC Group NV (KBC.BR)	E (11/24/2025)	€116.10
Societe Generale (SOGN.PA)	O (11/01/2024)	€69.39
UBS Group AG (UBSG.S)	U (06/18/2025)	SFr 35.04
Gulnara Saitkulova		
Bank Pekao S.A. (PEO.WA)	E (03/13/2026)	PLN 233.70

Bank PKO BP (PKO.WA)	O (03/13/2026)	PLN 96.14
BAWAG Group AG (BAWG.VI)	O (05/20/2025)	€148.20
Danske Bank (DANSKE.CO)	O (08/13/2024)	DKr 321.70
DNB (DNB.OL)	U (09/23/2024)	NKr 281.40
Erste Group Bank AG (ERST.VI)	O (01/13/2025)	€100.00
Nordea Bank Abp (NDAFI.HE)	O (11/25/2024)	€15.58
OTP Bank (OTPB.BU)	O (03/13/2026)	HUF 42,580.00
Skandinaviska Enskilda Banken AB (SEBa.ST)	E (05/21/2024)	SKr 181.30
Svenska Handelsbanken AB (SHBa.ST)	U (07/08/2025)	SKr 129.65
Swedbank (SWEDa.ST)	U (02/15/2024)	SKr 323.30
Nick Lord		
Standard Chartered Bank (STAN.L)	O (11/24/2025)	1,866p
Noemi Peruch		
Banca Monte Paschi Siena (BMPS.MI)	E (01/05/2026)	€9.33
Banco BPM (BAMI.MI)	U (01/05/2026)	€12.89
BPER Banca (EMII.MI)	O (01/05/2026)	€12.58
CrediaBank SA (CREDIAr.AT)	E (05/12/2026)	€1.30
Intesa SanPaolo S.p.A. (ISP.MI)	E (05/11/2026)	€5.86
UniCredit S.p.A. (CRDI.MI)	O (02/10/2026)	€70.73

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* Historical prices are not split adjusted.

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